



## NATIONAL UNIVERSITY OF COMPUTER & EMERGING SCIENCES

Spring 2025

### Course Outline: MG2013 Fundamentals of Accounting

|               |                            |                |                 |
|---------------|----------------------------|----------------|-----------------|
| Program       | BAI                        | Semester       | 4 <sup>th</sup> |
| Course Title  | Fundamentals of Accounting | Course Code    | MG2013          |
| Pre-requisite | NA                         | Course Teacher | Sami Ullah      |

|                                                                                                                 |    |
|-----------------------------------------------------------------------------------------------------------------|----|
| Attributes of Complex Computing Problems/Activities targeted in the course. (if yes, provide short description) | NA |
| Complex Computing Problems included. (if yes, provide short description)                                        | NA |

### Learning Materials

|                                                                                                                                                  |
|--------------------------------------------------------------------------------------------------------------------------------------------------|
| Text Books:                                                                                                                                      |
| 1. Williams, Haka, Bettner: Financial & Managerial Accounting, Latest Edition, Prentice Hall                                                     |
| Reference Books:                                                                                                                                 |
| 1. Meigs and Meigs, Accounting for Business Decision, 9th Edition/Latest Edition                                                                 |
| 2. Weygandt, J. J., Kieso, D. E., Kimmel, P. D., Trenholm, B., Warren, V., & Novak, L. (2019). <i>Accounting Principles</i> . John Wiley & Sons. |
| 3. Van Horne, J. C., & Wachowicz, J. M., Jr. (2008). Fundamentals of financial management (13th ed.). Prentice Hall.                             |

### Assessment Plan

|                             |            |
|-----------------------------|------------|
| <u>Formative Assessment</u> | <u>20%</u> |
| Quizzes (4)                 | 8%         |
| Assignments (4)             | 9%         |
| Class Participation         | 3%         |
| <u>Summative Assessment</u> | <u>80%</u> |
| Sessional I                 | 15%        |
| Sessional II                | 15%        |
| Final Exams                 | 50%        |

### Course Learning Outcomes

| CLO No. | CLO Statement                                                                                                                                             | Domain (Cognitive, Affective and Psychomotor) | Taxonomy Level | Mapped with PLO | Assessment Tool                      |
|---------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------|----------------|-----------------|--------------------------------------|
| CLO 1   | <b>Understand</b> the basic principles and concepts of accounting and <b>evaluate</b> the effect of various business transactions on financial statements | Cognitive                                     | C1, C2, C3, C5 | 2, 12           | CP<br>Q-I<br>A-I<br>Q-II<br>S-I<br>F |

|       |                                                                                                                                                                                                   |           |        |                  |                                          |
|-------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------|--------|------------------|------------------------------------------|
| CLO 2 | <b>Execute</b> and <b>Analyze</b> all stages of the accounting cycle, from journal entries to <b>preparing</b> financial statements, ensuring accuracy and compliance with accounting Principles. | Cognitive | C3, C4 | 2, 3             | CP<br>A-II,<br>Q-III<br>S-I<br>S-II<br>F |
| CLO 3 | <b>Interpret</b> Financial Statements and Perform ratio analysis to <b>evaluate</b> a business's financial health and performance and make informed decisions.                                    | Cognitive | C4, C5 | 2, 11            | CP<br>Q-IV<br>A-III<br>F                 |
| CLO 4 | <b>Apply</b> the basic finance concepts and <b>evaluate</b> the financial viability of a business<br>Or project by using different tools.                                                         | Cognitive | C3, C5 | 2, 3, 4, 5, & 11 | CP<br>Q-V<br>A-IV<br>F                   |

A=Assignment, Q=Quiz, CP=Class participation, S=Sessional, F=Final

#### Course outline

| Week No. | Course Content                                                                                                                                                                                                                                                                                                                                                                       | CLO | Assessment |
|----------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----|------------|
| I        | <b><u>Introduction to Accounting</u></b><br>-An overview of course outline<br>-An Introduction to Accounting<br>-Accounting as a process<br>-Accounting Information: A means to an end<br>- Basic Function of Accounting<br>-Accounting Art or Science?<br>-Branches of accounting<br>-The functions of accounting<br>-Users of accounting information<br>-Motivation for accounting | 1   | CP         |
| II       | <b><u>Basic Financial Statements</u></b><br>-Balance Sheet:<br>-Assets and Its types<br>-Liabilities its types and owners' equity<br>- Income Statement:<br>-Revenue and Expenses<br>-Forms of Businesses (Sole-proprietorship, Partnership & Corporation)<br>-Economic entity assumption                                                                                            | 1,2 | CP         |

|      |                                                                                                                                                                                                                                                                                                                                 |      |               |
|------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|---------------|
|      | Effect of Business Transaction on Accounting Equation                                                                                                                                                                                                                                                                           |      |               |
| III  | <b><u>The Accounting Cycle: Capturing economic events</u></b><br>-The Accounting cycle<br>-Debit and Credit Rules <ul style="list-style-type: none"> <li>- Making entries in General Journal</li> <li>- Posting entries to their respective ledgers</li> <li>- A Walk-through example</li> </ul> - The Unadjusted Trial Balance | 2    | Quiz I        |
| IV   | <b><u>Generally Accepted Accounting Principles (GAAP)</u></b><br>-Revenue Recognition Principle<br>-Matching Principle<br>-The Historical cost principle<br>-Monetary unit assumption<br>-Time period assumption<br><b><u>The Accounting Cycle: Adjusting Entries</u></b><br>Adjusting Entry Type I<br>Adjusting Entry Type II  | 2    | Quiz II       |
| V    | <b><u>The Accounting Cycle: Adjusting Entries</u></b><br>Adjusting Entry Type III<br>Adjusting Entry Type IV<br>-Preparing an adjusted Trial Balance                                                                                                                                                                            | 2    | Assignment I  |
| VI   | <b>Sessional-I</b>                                                                                                                                                                                                                                                                                                              | 1,2, |               |
| VII  | <b><u>The Accounting Cycle: Measuring Business income &amp; Financial Position</u></b><br>-Preparing End of the period statements<br>-Income Statement,<br>-Statement of owner equity<br>-Retained Earnings Statement<br>-Balance Sheet<br>-Cash flows statement<br>-Preparing a worksheet                                      | 2    | CP            |
| VIII | <b><u>The Accounting Cycle: Closing Entries &amp; Post-Closing Trial Balance</u></b><br>-Closing Entries Explained<br>-When Closing Entries are recorded in Books of Accounts<br>-Why Closing Entries are necessary for the business<br>-Types of Closing Entries<br>-Post Closing Trial Balance                                | 2    | Assignment II |

|      |                                                                                                                                                                                                      |           |                    |
|------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------|--------------------|
| IX   | <b><u>Plant Assets and Depreciation</u></b><br>-Straight Line Method<br>-Double Declining Balance Method<br>-MACRS                                                                                   | 2         | Quiz III           |
| X    | <b><u>Accounting Cycle problems and Solutions</u></b><br>-Practical hands-on Numerical & Accounting Problems                                                                                         | 2         | Assignment III, CP |
| XI   | <b>Sessional-II</b>                                                                                                                                                                                  | 1, 2, 3   |                    |
| XII  | <b><u>Inventories and Cost of Goods sold</u></b><br>-Perpetual Inventory System<br>-Period Inventory System<br>-The average cost method<br>-First In, First Out (FIFO)<br>-Last In, First Out (LIFO) | 1, 2      | CP                 |
| XIII | <b><u>Introduction to Finance</u></b><br>-Time value of money<br>-Future Value<br>-Present Value<br>-The concept of Annuity<br>-Preparing an Amortization Table                                      | 3         | CP                 |
| XIV  | <b><u>Financial statements analysis:</u></b><br>-Vertical Analysis (Common Size Analysis)<br>-Horizontal Analysis (Index Analysis)<br>-Ratios analysis                                               | 3,4       | Assignment IV      |
| XV   | <b><u>Capital Budgeting Techniques/Project Evaluation Techniques</u></b><br>- Payback period<br>- NPV<br>- PI<br>-IRR                                                                                | 3,4       | Quiz IV            |
| XVI  | Revision of Core concepts                                                                                                                                                                            |           | CP                 |
|      | <b>Final Exam</b>                                                                                                                                                                                    | 1,2,3 & 4 |                    |